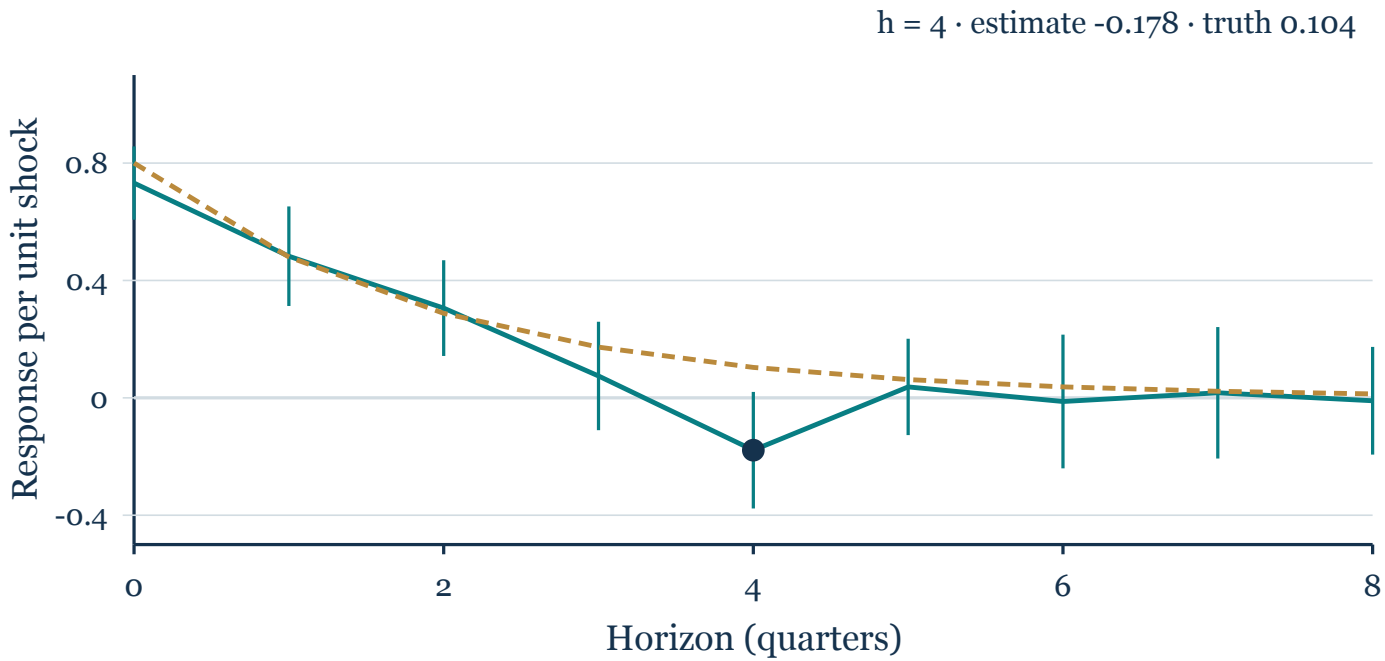
Which change addresses the problem we found?

Compare improving dynamics, changing an error model and estimating a future response.



Constructed quarterly process; actual local-projection estimates with approximate pointwise 95% intervals. The dashed path is the known response.

Recall what HAC preserves

An uncertainty adjustment does not add predictors.

> Newey–West retains the OLS coefficient on the same equation and sample while changing its estimated covariance.

> Before comparing the results, say which concern motivates each operation.

Dynamic completeness is a conditional-mean claim

Past information should not predict the remaining mean error.

> Dynamic completeness: omitted history adds no conditional-mean prediction for the stated information set.

> A lagged outcome changes both the comparison and the needed assumptions.

Add a lagged outcome with its timing made explicit

A different coefficient can be a different conditional comparison.

```
. newey logacc L.logacc trend i.month unem spdlaw beltlaw wkends, lag(4)

------------------------------------------------------------------------------
             |             Newey-West
      logacc | Coefficient  std. err.      t    P>|t|     [95% conf. interval]
-------------+----------------------------------------------------------------
      logacc |
         L1. |   .3326578   .1071252     3.11   0.003     .1198023    .5455133
             |
       trend |   .0008893   .0002853     3.12   0.002     .0003223    .0014562
             |
        unem |  -.0125834   .0044189    -2.85   0.005    -.0213638   -.0038031
      spdlaw |  -.0414191   .0141509    -2.93   0.004    -.0695366   -.0133016
     beltlaw |   .0652123   .0154671     4.22   0.000     .0344794    .0959452
      wkends |   .0032099    .002814     1.14   0.257    -.0023815    .0088014
       _cons |   7.018421   1.156725     6.07   0.000     4.720033    9.316809
------------------------------------------------------------------------------
```

Calendar-indicator coefficient rows are omitted here. The output download contains the full numerical results.

Transform a serial-error equation step by step

Subtracting the error carry-over also transforms the regressors.

$$Y_t = a + \beta X_t + u_t, \quad u_t = \rho u_{t-1} + \varepsilon_t$$

$$Y_t - \rho Y_{t-1} = a(1-\rho) + \beta(X_t - \rho X_{t-1}) + \varepsilon_t$$

Make the transformation feasible

Prais–Winsten estimates the carry-over and retains the first observation.

> For $\rho = 0.5$: $12 - 0.5(10) = 7$, $3 - 0.5(2) = 2$

> First-observation weight: $\sqrt{1 - \rho^2}$

> Estimate rho, transform all columns, and fit the transformed equation.

Prais–Winsten models an AR(1) error process

Its additional structure can change the fit.

```
. prais logacc trend i.month unem spdlaw beltlaw wkends

------------------------------------------------------------------------------
      logacc | Coefficient  Std. err.      t    P>|t|     [95% conf. interval]
-------------+----------------------------------------------------------------
       trend |   .0009183    .000368     2.50   0.014     .0001874    .0016493
             |
        unem |   -.019975   .0047144    -4.24   0.000    -.0293397   -.0106104
      spdlaw |   -.045256   .0179614    -2.52   0.013     -.080934   -.0095779
     beltlaw |   .1008944   .0201055     5.02   0.000     .0609572    .1408315
      wkends |   .0042874   .0028062     1.53   0.130    -.0012867    .0098615
       _cons |   10.61796   .0628171   169.03   0.000     10.49318    10.74274
-------------+----------------------------------------------------------------
```

Calendar-indicator coefficient rows are omitted here. The output download contains the full numerical results.

Model or inference?

Try the comparison before opening the explanation.

Practice

Compare adding a lagged regressor, changing OLS SEs to HAC, and fitting Prais–Winsten. Which can change coefficients?

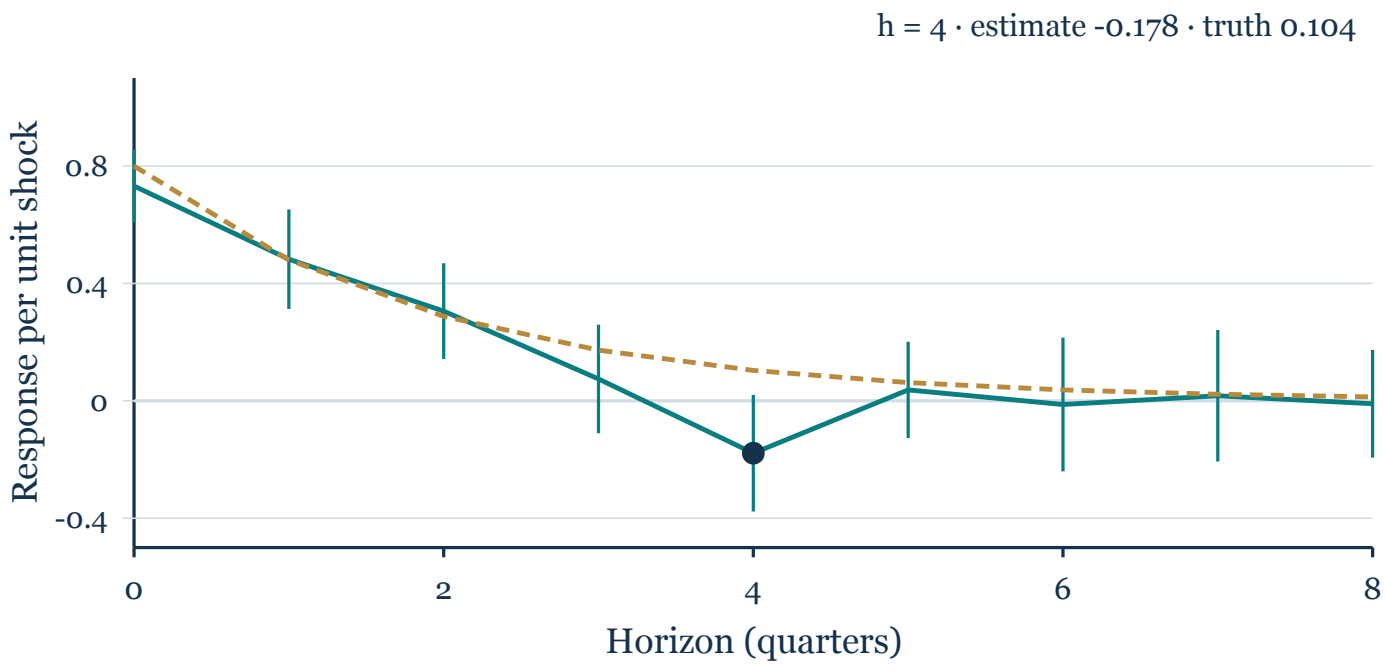
Model or inference?: explanation

Follow the calculation and interpret its units.

> Adding regressors changes the conditional-mean model and generally the OLS coefficients and sample. HAC on the identical specification and sample preserves OLS coefficients. Prais–Winsten transforms/weights the model under a modeled error process and can change coefficients as well as SEs; its assumptions must be justified.

Specify the known quarterly data-generating rule

A stable process gives a transparent response benchmark.



Constructed quarterly process; actual local-projection estimates with approximate pointwise 95% intervals. The dashed path is the known response.

- $\pi_t = 0.6\pi_{t-1} + 0.8s_t + \varepsilon_t$
- Hold other external draws fixed; allow inflation to propagate.
- Known intervention response: $0.8(0.6)^h$

A local projection asks about a specified future outcome

Define the shock and horizon before the coefficient.

$$\pi_{t+h} = a_h + b_h s_t + c_h \pi_{t-1} + u_{t+h}^{(h)}$$

h: quarters ahead; b_h: response per current shock unit.

The horizon coefficient has outcome-per-shock units

Do not confuse a future value with a cumulative sum.

> At horizon four, the coefficient concerns inflation four quarters after the shock.

> Write the economic sentence before calculating: a one-unit shock is associated with a fitted difference in the outcome at a specified future date, conditional on the included information.

A horizon

Try the comparison before opening the explanation.

Practice

In quarterly local projections $Y_{t+h} = a_h + b_h\, shock_t + \text{controls} + u_{t+h}$, what does b_4 describe?

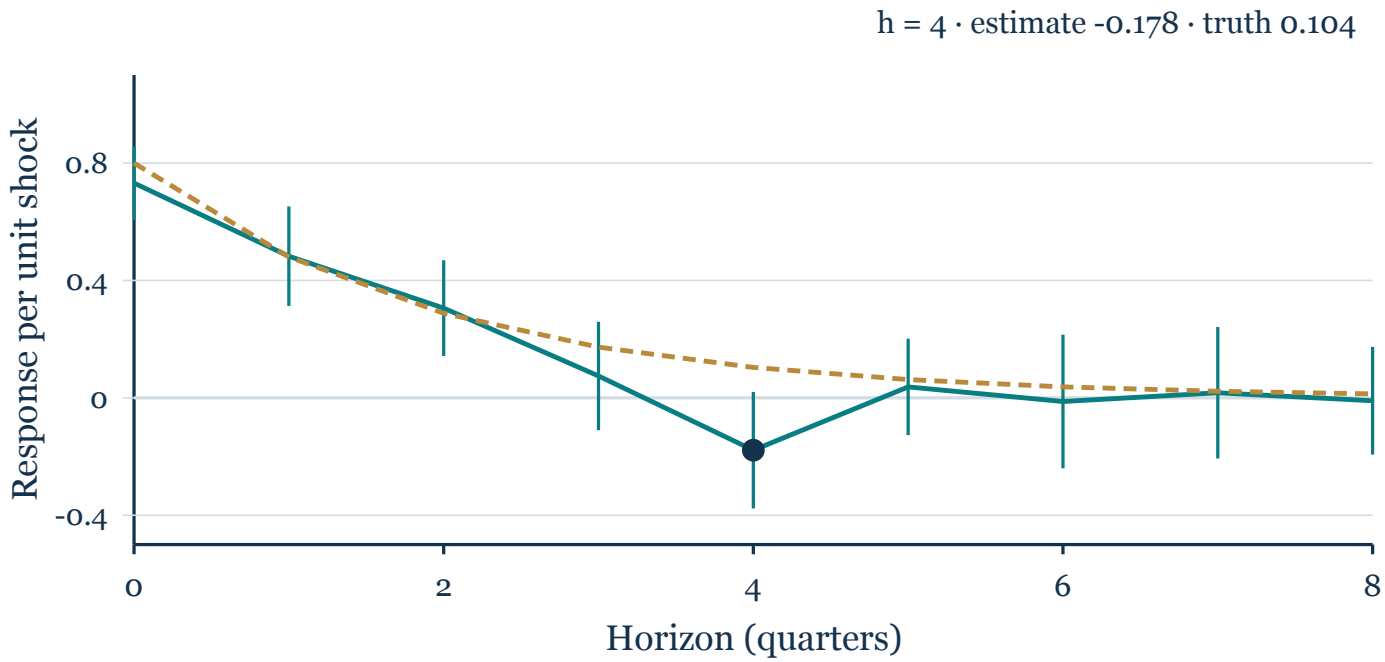
A horizon: explanation

Follow the calculation and interpret its units.

> It describes the outcome association or response four quarters, one year, after a unit shock, conditional on the specification. A causal impulse-response interpretation requires valid shock identification and controls; the regression form alone does not provide it.

Inspect the estimated path without forcing it to match the truth

Finite-sample response estimates can be noisy.



Constructed quarterly process; actual local-projection estimates with approximate pointwise 95% intervals. The dashed path is the known response.

Read the horizon-four output honestly

A negative sample estimate can coexist with a positive true response.

```
. newey F4.inflation shock L.inflation, lag(8)

------------------------------------------------------------------------------
             |             Newey–West
F4.inflation | Coefficient  std. err.      t    P>|t|     [95% conf. interval]
-------------+----------------------------------------------------------------
       shock |    -.17841   .1013114    -1.76   0.080    -.3780179    .0211979
             |
   inflation |
          L1. |   .0652363   .0710399     0.92   0.359    -.0747295    .2052021
             |
       _cons |  -.2784281   .1669179    -1.67   0.097    -.6072968    .0504406
------------------------------------------------------------------------------
```

Future-outcome errors can overlap across dates

A sensible mean model can still leave serial dependence.

> Illustration: $w_t = v_{t+1} + v_{t+2}$

> $w_{t+1} = v_{t+2} + v_{t+3}$: shared v_{t+2}

A HAC lag has calendar meaning

The same number describes different windows at different frequencies.

> The simulation uses quarterly data and Newey–West lag eight, allowing contributions through eight quarters, or two years.

> The appropriate window depends on the dependence structure and the asymptotic justification, and a finite-sample analysis should inspect plausible choices.

Pointwise intervals do not cover an entire response path at the same rate

Multiple horizons change the inferential question.

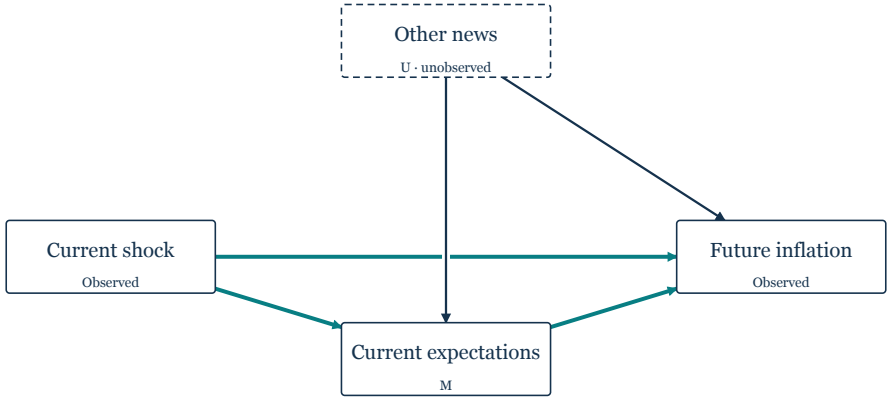
> Pointwise coverage: one stated horizon.

> Simultaneous coverage: the complete stated collection of horizons.

> Illustration only, with independent events: $0.95^9 \approx 0.63$.

Controlling a mechanism can change the response being studied

A current mediator is not just another lag control.



2 open directed routes · 0 open alternatives · gold: conditioned on

Assumed causal structure · dashed boxes: unobserved · gold boxes: conditioned on

> New application: expectations mediate a shock and also respond to other news.

> Post-shock controls can change the target and create selection.

Mediation is not proven

Try the comparison before opening the explanation.

Practice

A shock coefficient becomes smaller after adding current expectations. Does this prove that expectations mediate the causal effect?

Mediation is not proven: explanation

Follow the calculation and interpret its units.

> No. It is consistent with a mediation story but may reflect confounding, post-treatment conditioning, endogeneity or other specification changes. State the target and the assumptions under which conditioning has a direct-effect interpretation.

Initial information and post-shock information have different roles

Timing determines what a control can do.

> A variable known before the shock can help account for the state of the economy that predicts both measured shocks and future outcomes.

> Write a time line for the shock, controls and outcome.

Distinguish an estimated shock from a known innovation

Measurement and first-step uncertainty can matter.

> Known simulated shock: observed by construction.

> Estimated empirical shock: identification and first-step uncertainty need separate arguments.

Choose among the three changes using the application

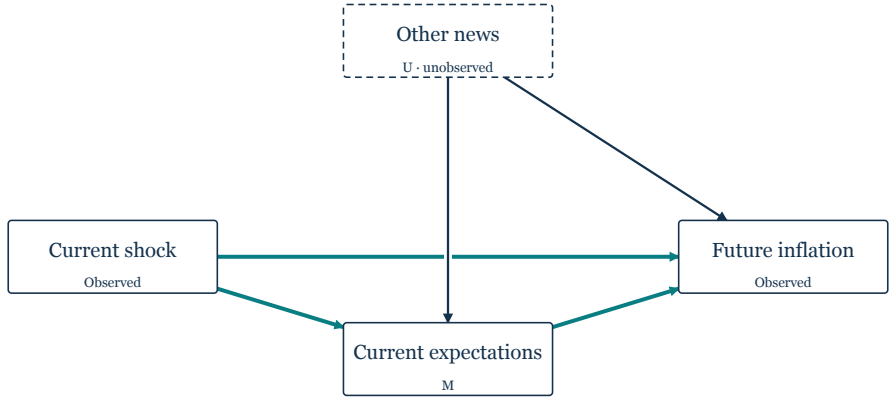
The preferred response follows the diagnosed failure.

> For omitted predictable dynamics, reconsider the conditional-mean equation and its timing assumptions.

> None automatically solves policy endogeneity or shock mismeasurement.

DAG practice: expectations after a shock

Trace the routes before choosing a control.



2 open directed routes · 0 open alternatives · gold: conditioned on

Assumed causal structure · dashed boxes: unobserved · gold boxes: conditioned on

Practice

A shock changes expectations and future inflation. Other news affects expectations and future inflation. Explain why adding current expectations can remove a mechanism and also create an alternative route, even if the shock initially had no common cause with the news.

DAG practice: expectations after a shock: explanation

Explain what conditioning changes in this stated graph.

> Expectations lie on $s_t \to M \to \pi_{t+h}$, so conditioning on them blocks part of the shock's response. They also form a collider on $s_t \to M \leftarrow U \to \pi_{t+h}$; conditioning can open the route through other news. The adjusted shock coefficient therefore does not automatically identify a direct response. An observed reduction in its size is compatible with several stories. State the target, the control's timing and the additional assumptions needed to separate mediation from selection or mediator–outcome confounding.

Compare a known response with a noisy estimate

Reproduce the evidence, then explain its economic meaning.

Practice

Run meeting_12.do. In its explicitly constructed quarterly experiment, calculate the true response four quarters after a unit shock. Compare it with the actual horizon-four estimate and approximate interval. Explain what the discrepancy teaches about finite-sample estimates and why the experiment does not identify an observed historical supply shock.

Compare a known response with a noisy estimate: explanation

A reproducible result needs both a calculation and an interpretation.

> The known response is 0.8 times 0.6 to the fourth power, or 0.10368. The estimated horizon-four coefficient is -0.178410, with SE 0.101311. Its approximate 1.96 interval is [-0.3770, 0.0202]. This particular interval misses the true positive response. A coverage statement concerns repeated samples, so a particular estimated response can have the wrong sign and a particular interval can miss the truth. The displayed result has not been replaced with its theoretical target. The independent shock is known by construction in this experiment. Observed macroeconomic work still needs a credible shock measure, appropriate dated controls and justified inference.

Next, use repeated units to construct another comparison

Panel methods exploit changes within an identified unit.

> Time-series methods studied a single ordered history and its dynamics.

> The next lesson will derive first differences and fixed effects, then build a two-group policy comparison over time.